

**LAW & MOTION CALENDAR
TENTATIVE RULINGS**

May 14, 2026

**Judge R. Shawn Nelson
Department C10**

Department C10 hears law and motion on Thursdays at 10:00 a.m. and 1:30 p.m.

Court reporters: Official court reporters are not provided in this department for any proceedings. If the parties desire the services of a court reporter, the parties should follow the procedures set forth in the Privately Retained Court Reporter Policy on the court's website at www.occourts.org.

Tentative rulings: The court endeavors to post tentative rulings on the court's website by 9:00 a.m. the day of the hearing. Tentative rulings may not be posted in every case. Please do not call the department for tentative rulings if tentative rulings have not been posted. The court will not entertain a request to continue a hearing or the filing of further documents once a tentative ruling has been posted.

Submitting on tentative rulings: If all counsel intend to submit on the tentative ruling and do not desire oral argument, please advise the Courtroom Clerk or Courtroom Attendant by calling (657) 622-5210. Please do not call the department unless all parties submit on the tentative ruling. If all sides submit on the tentative ruling and so advise the court, the tentative ruling shall become the court's final ruling and the prevailing party shall give notice of the ruling and prepare an order for the court's signature if appropriate under Cal. R. Ct. 3.1312.

Appearances and public access: Appearances, whether in person or remote, must comply with Civil Procedure Code section 367.75, California Rule of Court 3.672, Orange County Superior Court Local Rule 375, and Orange County Superior Court Appearance Procedure and Information—Civil Unlimited and Complex (pub. 9/9/22).

Unless the court orders otherwise, remote appearances will be conducted via Zoom. All counsel and self-represented parties appearing via Zoom must check in through the court's civil remote appearance website before the hearing begins. Check-in instructions are available on the court's website.

The public may attend hearings by coming to court or via remote access as described above.

Photographing, filming, recording, and/or broadcasting court proceedings are prohibited unless authorized pursuant to California Rule of Court 1.150 or Orange County Superior Court Local Rule 180.

Non-appearances: If nobody appears for the hearing and the court has not been notified that all parties submit on the tentative ruling, the court shall determine whether the matter is taken off calendar or the tentative ruling becomes the final ruling.

NO.	CASE NAME	MATTER
10 a.m.		
1	Thompson v. Doan	FORTRA LAW through Jacoby Perez, Esq.'s motion to be relieved as counsel for Defendant Tri Minh Doan is CONTINUED to June 11, 2026, at 10:00 a.m. in this Department. The attorney's declaration does not satisfy Rules of Court, Rule 3.1362, subd. (d)(1), which requires that when a motion to be relieved is served on the client by mail, the declaration must state either that the service

		address was confirmed as the client's current address within 30 days before filing or that the address is the client's last known address and that, after reasonable efforts within that period, counsel was unable to locate a more current address. The declaration also fails to satisfy Rules of Court, Rule 3.1362, subd. (d)(2), which requires that when a motion is served on the client electronically, the declaration must state that the electronic service address is the client's current electronic service address. Rules of Court, Rule 3.1362 further provides that: As used in this rule, "current" means that the address was confirmed within 30 days before the filing of the motion to be relieved. Merely demonstrating that the notice was sent to the client's last known address and was not returned or no electronic delivery failure message was received is not, by itself, sufficient to demonstrate that the address is current. If the service is by mail, Code of Civil Procedure section 1011(b) applies. No later than nine (9) court days before the continued hearing, Moving Counsel shall file and serve: (1) an amended or supplemental declaration that complies with Rules of Court, Rule 3.1362; and (2) an updated proposed order on Judicial Council form MC-053 that updates all current upcoming hearing information in Section 7. Client Doan may file a response or opposition no later than five (5) court days before the continued hearing. Moving Counsel shall provide notice of this ruling and continued hearing date on the client. <u>Case Management Conference</u> The Case Management Conference is continued to June 11, 2026, at 10 a.m. in this department. Plaintiff to give notice.
1:30 p.m.		
1	Esparza v. Almendarez	Defendant Nathan Alexander Almendarez's motion to tax costs by Plaintiff Jose Jesus Garcia Esparza is GRANTED in part and DENIED in part as set forth below. <u>Legal Standard</u> In general, the prevailing party is entitled as a matter of right to recover costs for suit in any action or proceeding. (Cal. Civ. Proc. Code §1032(b); <i>Santisas v. Goodin</i> (1998) 17 Cal.4th 599, 606; <i>Scott Co. Of Calif. v. Blount, Inc.</i> (1999) 20 Cal.4th 1103, 1108.) Allowable costs under Code of Civil Procedure section 1033.5 must be reasonably necessary to the conduct of the litigation, rather than merely convenient or beneficial to its preparation, and must be reasonable in amount. An item not specifically allowable under section 1033.5(a) nor prohibited under subdivision (b)

may nevertheless be recoverable in the discretion of the court if they meet the above requirements (i.e., reasonably necessary and reasonable in amount). (*Ladas v. California State Automotive Assoc.* (1993) 19 Cal.App.4th 761, 773-774.) If the items appearing in a cost bill appear to be proper charges, the burden is on the party seeking to tax costs to show that they were not reasonable or necessary. *Id.* at 773-774. On the other hand, if the items are properly objected to, they are put in issue and the burden of proof is on the party claiming them as costs. *Id.*

The memorandum of costs must be filed and served "within 15 days after the date of service of the notice of entry of judgment or dismissal by the clerk under Code of Civil Procedure section 664.5 or the date of service of written notice of entry of judgment or dismissal, or within 180 days after entry of judgment, whichever is first." (Cal. Rules of Court, rule 3.1700(a)(1).) "Any notice of motion to strike or to tax costs must be served and filed 15 days after service of the cost memorandum." (Cal. Rules of Court, rule 3.1700(b)(1).) "Unless objection is made to the entire cost memorandum, the motion to strike or tax costs must refer to each item objected to by the same number and appear in the same order as the corresponding cost item claimed on the memorandum of costs and must state why the item is objectionable." (Cal. Rules of Court, rule 3.1700(b)(2).)

Prejudgment Interest (\$42,171.16 sought to be stricken)

Defendant argues that Plaintiff is not entitled to prejudgment interest from the time Plaintiff served a § 998 offer on the grounds that the offer was invalid. Defendant argues that because Plaintiff's § 998 offer of \$75,000 exceeded Defendant's policy limits, the offer was unreasonable and not made in good faith.

In any action brought to recover damages for personal injury sustained by any person resulting from or occasioned by the tort of any other person, corporation, association, or partnership, whether by negligence or by willful intent of the other person, corporation, association, or partnership, and whether the injury was fatal or otherwise, it is lawful for the plaintiff in the complaint to claim interest on the damages alleged as provided in this section.

If the plaintiff makes an offer pursuant to Section 998 of the Code of Civil Procedure **which the defendant does not accept prior to trial** or within 30 days, whichever occurs first, and the plaintiff obtains a more favorable judgment, the judgment shall bear interest at the legal rate of 10 percent per annum calculated from the date of the plaintiff's first offer pursuant to Section 998 of the Code of Civil Procedure which is exceeded by the judgment, and interest shall accrue until the satisfaction of judgment.

(Civ. Code, § 3291.)

Pre-judgment interest is a recoverable cost, as it is "[a]ny other item that is required to be awarded to the prevailing party pursuant to statute as

an incident to prevailing in the action at trial or on appeal.” (§ 1033.5, subd. (a)(16); *Wagy v. Brown* (1994) 24 Cal.App.4th 1, 8.)

A token or bad faith offer does not trigger Section 998’s cost shifting provision. (*Wear v. Calderon* (1981) 121 Cal.App.3d 818, 821.) The trial court has discretion to determine whether the offer was made in good faith. (*Regency Outdoor Advertising, Inc. v. City of Los Angeles* (2006) 39 Cal.4th 507, 531.) Reasonableness is measured by the circumstances which existed at the time and “by determining whether the offer represents a reasonable prediction of the amount of money, if any, [the offeror] would have to pay [the offeree] following a trial, discounted by an appropriate factor for receipt of money by [the offeree] before trial” (*Elrod v. Oregon Cummins Diesel, Inc.* (1987) 195 Cal.App.3d 692, 699.) The party challenging the reasonableness of the 998 offer bears the burden of proof. (*Id.* at 700.) The following factors are considered: the ultimate jury verdict, defendant’s apparent liability, plaintiff’s damages, insurance coverage, jury reports, and information available to the plaintiff. (*Id.* at 698-700.)

Where a verdict is a more favorable outcome than a party’s §998 offer, that fact constitutes prima facie evidence that the offer was reasonable. (*Smalley v. Subaru of America, Inc.* (2022) 87 Cal.App.5th 450, 458.) The burden is therefore on the offeree to prove the offer was in “bad faith.”

Here, the court finds that Defendant has failed to meet his burden of establishing that the offer was made in bad faith. Here, the jury returned a special verdict finding that Plaintiff suffered total economic damages in the amount of \$240,000 and non-economic damages in the amount of \$302,000, for a total award of \$542,000. Plaintiff’s § 998 offer of \$75,000, which is significantly lower, constitute prima facie evidence that the offer was reasonable. Defendant has not offered any admissible evidence to establish that the offer was unreasonable. Instead, Defendant merely categorically argues that because Plaintiff’s §998 offer exceeded policy limits, the offer was de facto unreasonable. Defendant has not addressed any of the factors for challenging the reasonableness of a 998 offer, e.g., the ultimate jury verdict, defendant’s apparent liability, plaintiff’s damages, jury reports, and/or what information was available to plaintiff. Indeed, an offer in excess of the policy limits, in and of itself, does not demonstrate that a Plaintiff acted in bad faith. (*Aguilar v. Gostischef* (2013) 220 Cal.App.4th 475, 480-481).

For this reason, Defendant’s request to tax Plaintiff’s prejudgment interest is DENIED.

In Plaintiff’s opposition, Plaintiff has updated the amount of prejudgment interest to \$68,750.90. The updated amount requested by Plaintiff for prejudgment interest is GRANTED. (Code of Civ. Proc. § 3291 (prejudgment interest continues to accrue until judgment is satisfied)).

Item 1: Filing and Motion Fees

Defendant seeks to tax \$460.75 in filing fees as unsupported. The opposition explains that Plaintiff seeks costs related to filing the complaint plus a \$35.75 e-filing service fee. The court finds that \$460.75 is a

reasonable cost for filing and motion fees in this action. The request to tax/strike this cost is DENIED.

Item 4: Deposition Costs

Defendant requests that the entire \$21,625.69 in deposition costs be taxed/stricken. Alternatively, Defendant requests that \$11,462.30 costs for defense expert witness depositions be taxed and \$6,917.20 for the taking of Plaintiff's non-retained experts be taxed.

"Section 1033.5, subdivision (a)(3), permits a prevailing party to recover the cost of '[t]aking, video recording, and transcribing necessary depositions including an original and one copy of those taken by the claimant....'" (*Chaaban v. Wet Seal, Inc.* (2012) 203 Cal.App.4th 49, 56.)

" 'The necessity for a deposition and for the related expenditures is a question for the trial court's sound discretion. [Citation.] The burden of proof that the deposition was unnecessary ... is on the party seeking to have that item taxed.... [Citation.]' [Citation.]" (*Silver v. Gold* (1989) 211 Cal.App.3d 17, 26.) The burden of proof is on the party challenging the deposition cost "to present some evidence that the [Plaintiff] had taken unnecessary depositions." Where, on its face, the cost item was proper and uncontroverted, the cost is properly allowed. (*M. C. & D. Capital Corp. v. Gilmaker* (1988) 204 Cal.App.3d 671, 680.)

"The recovery of deposition costs does not depend on whether the deponent ultimately testifies at trial." *Chaaban v. Wet Seal, Inc.*, 203 Cal. App. 4th 49, 57 (2012).

First, Defendant argues that Plaintiff fails to provide evidence of items 4(g) and 4 (h). Plaintiff's opposition, however, does offer sufficient evidence of these charges. (See Opposition, Ex. 7-9).

Second, Defendant contends that the deposition of Michael Weinstein, M.D. and Luke Macyszyn, M.D. were Defendant's retained medical experts. Defendant contends that Plaintiff is not allowed to recover expert witness fees as a cost item.

Expert fees not ordered by the court are generally not allowable as costs, except when expressly authorized by law. (Code Civ. Proc., § 1033.5, subd. (b)(1).)

However, expert fees that are incurred post-998 offer are recoverable that are "actually incurred and reasonably necessary in either, or both, preparation for trial or arbitration, or during trial or arbitration, of the case by the plaintiff, in addition to plaintiff's costs."" (Code Civ. Proc., § 998, subd. (d); see *Rojas v. HSBC Card Services Inc.* (2023) 93 Cal.App.5th 860, 897). As the court found above, Plaintiff made a valid §998 offer, which Defendant rejected, and obtained an outcome at trial that was more favorable. Each of Defendant's experts were deposed after defendant refused Plaintiff's §998 offer. Costs related to Plaintiff's deposing Defendant's two experts are recoverable.

Finally, Defendant argues that Plaintiff cannot seek costs incurred for deposing Plaintiff's treating physicians, who were non-retained experts. Again, Plaintiff incurred the costs to take the depositions of both non-

retained experts after defendant refused Plaintiff's §998 offer. These costs are recoverable.

The court has reviewed Plaintiff's depositions costs and finds that the costs were reasonable and necessary for litigation.

Item 8: Witness Fees

Defendant seeks to tax/strike \$11,984.44 in witness fees. Defendant argues, again, that expert witness fees are generally not recoverable. However, as stated above, Plaintiff's expert witness fees incurred after Defendant's rejection of a valid 998 offer are recoverable. Defendant has failed to meet its burden to establish that any of the witness fees sought are unreasonably high. Plaintiff has sufficiently substantiated the reasonableness and veracity of these costs. (See Opp. Flores Decl. §§ 21-23 & Ex. 9).

Item 11: Court Reporter Fees

Code of Civil Procedure Section 1033.5(a)(11) provides for the recovery of "[c]ourt reporter fees as established by statute." (See *also* Cal. Rules Ct., Rule 2.956 [providing that "[i]f the services of an official court reporter are not available for a hearing or trial in a civil case, a party may arrange for the presence of a certified shorthand reporter to serve as an official pro tempore reporter. It is that party's responsibility to pay the reporter's fee for attendance at the proceedings, but the expense may be recoverable as part of the costs, as provided by law"].) The "catchall" of subdivision (c)(4) provides that "[i]tems not mentioned in this section and items assessed upon application may be allowed or denied in the court's discretion" if the prevailing party shows the cost was reasonably necessary to the conduct of the litigation rather than merely convenient or beneficial to its preparation. (Code Civ. Proc., § 1033.5(c).)

Defendant argues that Plaintiff does not identify a statute or order that allows Plaintiff to recover such costs. Also Defendant points out a discrepancy regarding the amount of costs sought.

Plaintiff seeks reimbursement for court reporter fees recoverable by statute, not by transcript costs. "The fees and charges of the certified court shorthand reporter shall be recoverable as taxable costs by the prevailing party as otherwise provided by law." (Gov. Code §68086(d)(2)). Plaintiff has established that Plaintiff subtracted all daily transcript services, transcript costs, and rough drafts from this cost item.

Plaintiff does concede a clerical error and does not object to a reduction of court reporter fees to \$19,547.86.

As such, the court will tax \$51.97 from Plaintiff's requested court reporter fees.

Item 13: Models, Enlargements, and Photocopies

Defendant seeks to tax/strike the \$1,375.43 in costs as excessive and unsubstantiated.

In Plaintiff's opposition, Plaintiff seeks to increase the amount of costs requested from \$1,375.43 to \$1,526.08. The court will not allow the increase as it is untimely.

Code of Civil Procedure Section 1033.5(a)(13) provides for the recovery of "models, the enlargements of exhibits and photocopies of exhibits, and the electronic presentation of exhibits, including costs of rental equipment and electronic formatting, may be allowed if they were reasonably helpful to aid the trier of fact."

The court finds that Plaintiff has established that \$969.42 was a reasonable amount of costs that Plaintiff actually incurred in photocopies of exhibit binders, which were necessary for litigation. (See Opp. Flores Decl., ¶ 27-28 & Ex. 11). Further, Plaintiff spent \$401.06 in copies of medical records that were not used as trial exhibits, but Plaintiff has established that those copies were necessary for litigation. (*Segal v. ASICS America Corp.* (2022) 12 Cal.5th 651, 667 (demonstratives and photocopies are awardable even if not used at trial)).

As such, the court allows costs for this item equal to \$1,375.43.

Item 14: E-Filing Service Fees

Code of Civil Procedure Section 1033.5(a)(13) provides for the recovery of "[f]ees for the electronic filing or service of documents through an electronic filing service provider if a court requires or orders electronic filing or service of documents."

Defendant requests that the court tax all amounts sought under item 14 as unsubstantiated.

In Plaintiff's opposition, the court finds that Plaintiff has substantiated \$1,223.65 of the \$1,773.55 in electronic filing and service fees incurred.

As such, the court taxes \$549.90 of the amount requested in Item 14.

Item 15: Other

Defendant seeks to tax \$188.55 in parking and travel costs, \$62.50 in court record copies, and \$1,477.20 in investigation service of subpoenas.

Code of Civil Procedure Section 1033.5(a)(13) provides for the recovery of: "[a]ny other item that is required to be awarded to the prevailing party pursuant to statute as an incident to prevailing in the action at trial or on appeal."

Having reviewed Plaintiff's opposition, the court finds that \$62.50 and \$1,477.20 are not recoverable costs.

As such, the court taxes \$1,539.70 requested under item 15.
Moving Defendant to give notice.

Plaintiff is ordered to lodge an amended judgment within 10 days of this order, which updates the cost award based on the court's ruling.

2	Ticey v. JPMorgan Chase Bank N. A.	Plaintiffs Troy Ticey and Cynthia L. Ticey move for preliminary injunction enjoining all foreclosure and collection activities by Defendant JP Morgan Chase Bank, N.A., ("Defendant Chase") and enjoining Defendant Chase from reporting derogatory credit information to the credit reporting agencies. For the following reasons, the motion is CONTINUED to September 03, 2026, at 1:30 p.m. in this Department. As discussed in this court's previous order denying Plaintiffs' motion for preliminary injunction, to the extent Plaintiffs argue the deed of trust encumbering their property is defective and/or unenforceable due to WaMu's failure to obtain Plaintiff Cynthia Ticey's signature on the underlying loan documents, or due to fraud or unfair business practices by WaMu, Plaintiffs' claims are based on alleged misconduct by Defendant's predecessor, Washington Mutual Bank ("WaMu"). In September 2008, WaMu failed, the Federal Deposit Insurance Corporation ("FDIC") was appointed as receiver of the bank, and Defendant Chase later purchased some of WaMu's assets and liabilities. (See <i>Saffer v. JP Morgan Chase Bank, N.A.</i> (2014) 225 Cal.App.4th 1239, 1242-1243.) The Financial Institutions Reform, Recover, and Enforcement Act of 1989 ("FIRREA") provides a mandatory claims process, as a prerequisite to filing a civil claim against failed institutions such as WaMu and their successors. (See 12 U.S.C., § 1821(d)(13)(D).) United States Code, title 12, section 1821(d)(13)(D) provides that: "Except as otherwise provided in this subsection, no court shall have jurisdiction over—[¶] (i) any claim or action for payment from, or any action seeking a determination of rights with respect to, the assets of any depository institution for which the [Federal Deposit Insurance] Corporation has been appointed receiver, including assets which the Corporation may acquire from itself as such receiver; or [¶] (ii) any claim relating to any act or omission of such institution or the Corporation as receiver." "'[F]ailure to comply with the claims procedure bars any lawsuit against a failed depository institution.' [Citation.]" (<i>Saffer v. JP Morgan Chase Bank, N.A.</i> (2014) 225 Cal.App.4th 1239, 1247.) Specifically, failure to exhaust administrative remedies under FIRREA deprives courts of subject matter jurisdiction. (<i>Id.</i> at pp. 1248-1249.) Furthermore, "FIRREA exhaustion requirements apply even when a claim is asserted against a successor bank [such as JPMorgan Chase Bank], rather than the failed bank or the FDIC." (<i>Id.</i> at p. 1255; see also <i>Benson v. JPMorgan Chase, N.A.</i> (9th Cir. 2012) 673 F.3d 1207, 1214 [holding that "where a claim is functionally, albeit not formally against a depository institution for which the FDIC is a receiver, it is a 'claim' within the meaning of FIRREA's administrative claim process."]) Plaintiffs submit evidence for the first time on Reply that they pursued an administrative claim before the FDIC. (See ROA # 276 [Not. of Correction, RJN] at Ex. A.) Because this evidence was not submitted with the moving papers, the court finds it just to provide Defendant the opportunity to address the evidence.
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		In addition, the court would benefit from supplemental evidence and/or briefing on whether Plaintiffs' pursuit of administrative remedies after the December 2008 "bar date" provides this court subject matter jurisdiction over this dispute. (See 12 U.S.C., § 1821(d)(5)(C)(d)(6) [providing that any claimant who fails to make timely administrative claim "shall be deemed to be disallowed . . . , and the claimant shall have no further rights or remedies with respect to the claim"]; <i>Saffer v. JP Morgan Chase Bank, N.A.</i>, <i>supra</i>, 225 Cal.App.4th at p. 1243-1244 [explaining the FDIC published notices informing creditors of WaMu that any claims against WaMu must be submitted to the FDIC by 12/30/2008].) Defendant Chase shall submit a supplemental opposition brief not to exceed five (5) pages responding to the new evidence on reply; and addressing whether Plaintiffs have complied with the FIRREA claims process and whether this court has subject matter jurisdiction to consider Plaintiffs' claims based on alleged misconduct by WaMu. Defendant Chase may submit supplemental evidence relating only to these issues. Plaintiffs may file a supplemental reply brief not to exceed five (5) pages responding to any new evidence or argument presented by Defendant Chase. The moving party is ordered to give notice. <u>Case Management Conference</u> The Case Management Conference is continued to September 03, 2026, at 1:30 p.m. in this department. Plaintiff to give notice.
3	Schakel v. MLM Distributors, Inc.	Off calendar
4	People of the State of California v. Benji	Off calendar
5	Clarker, Inc. v. Ellis & Son Trucking, Inc.	<u>OSC re Dismissal</u> The court hereby DISSOLVES the Order to Show Cause re: Dismissal for Failure to Prosecute. <u>Motion to Serve via Secretary of State</u> Plaintiff Clarker, Inc., moves for order permitting service of summons State on Defendant Ellis & Son Trucking, Inc., through the California Secretary of State. For the following reasons, the motion is GRANTED. Service on corporate defendants may generally be accomplished by personal or substituted service. (Code Civ. Proc., §§ 415.20(a), 416.10.)

		Corporations Code section 1702 provides in relevant part: If the agent for service of process is a natural person and cannot be found with due diligence at the address stated in the designation . . . and if no one of the officers or agents of the corporation . . . can be found after diligent search and it is so shown by affidavit to the satisfaction of the court, then the court may make an order that service be made by personal delivery to the Secretary of State or to an assistant or deputy secretary of state” (Corp. Code, § 1702; <i>see also</i> Code Civ. Proc., § 416.10 [providing manners of effecting service on corporation].) Here, the corporate defendant Ellis & Son Trucking, Inc., is a domestic corporation. (S. Mancinelli Decl. [ROA # 20] ¶ 2.) The court finds Plaintiff exercised reasonable diligence in attempting to serve the corporate defendant’s agent for service of process at the address designated for service . (See S. Mancinelli Decl. [ROA # 40] ¶¶ 3-4.) Plaintiff also establishes that no officer or agent of Defendant Ellis & Son Trucking can be found after diligent search. (D. Mancinelli Decl. [ROA # 42] ¶¶ 2-3; S. Mancinelli Supp. Decl. ¶¶ 5-10.) The moving party is ordered to give notice. <u>Case Management Conference</u> The Case Management Conference is continued to July 16, 2026, at 9:00 a.m. in this department. Plaintiff to give notice.
6	Alayarian Company, a California Corporation v. VMA Harbor Place Holding Company, LLC	The Motion to Compel Response to Form Interrogatories brought by Defendant VMA Harbor Place Holding Company, LLC is DENIED, without prejudice, due to lack of service. While the instant motion is accompanied by a Proof of Service, which purports to have completed email service on Plaintiff, on March 26, 2026, the Proof of Service was not executed under penalty of perjury, as required. (See Code Civ. Proc., § 1013b, subd. (c) and Code Civ. Proc., § 1010.6, subd. (e)(2)(B).) Pursuant to Code of Civil Procedure section 2015.5, “[w]henever...any matter is required or permitted to be supported, evidenced, established, or proved by the sworn statement, declaration, verification, certificate, oath, or affidavit, in writing of the person making the same,” such document must be executed under penalty of perjury. (Code Civ. Proc., § 2015.5, subd. (a).) A declaration which is not executed in compliance with Code of Civil Procedure section 2015.5, “cannot be used as evidence.” (<i>Kulshrestha v. First Union Commercial Corp.</i> (2004) 33 Cal.4th 601, 618.) Additionally, as the instant motion has not been opposed by Plaintiff, there has been no waiver of any defect in service. The moving party to give notice.

7	1Sharpe Capital LLC v. Bullard	Plaintiff 1Sharpe Capital LLC demurs to the Answers filed by Defendants Sean Leonidas Bullard and Dena Lanae Bullard. For the following reasons, the demurrer is OVERRULED as to the first and eighth affirmative defenses and SUSTAINED WITH LEAVE TO AMEND as to the remainder of affirmative defenses. An answer to a complaint shall contain: (1) the general or specific denial of the material allegations of the complaint controverted by the defendant and (2) a statement of any new matter constituting a defense. Code Civ. Proc. § 431.30(b) (Emphasis added). The same pleading of ultimate facts rather than legal conclusions is required in pleading an answer as in pleading a complaint. (<i>See FPI Development, Inc. v. Nakashimi</i> (1991) 231 Cal.App.3d 367, 384 [stating rule that answer must allege facts “averred as carefully and with as much detail as the facts which constitute the cause of action and which are alleged in the complaint.”].) The defenses shall be separately stated and are to refer to the causes of action which they are intended to answer. (Code Civ. Proc. § 431.30(g).) Only new matters must be specially pleaded, containing the ultimate facts sufficient to prove the defense. (<i>FPI Development, Inc. v. Nakashimi</i> (1991) 231 Cal.App.3d 367, 384.) A new matter is a matter alleged for the first time in the answer, creating a new issue in the case not presented by the complaint. (<i>Rancho Santa Margarita v. Vail</i> (1938) 11 Cal.2d 501, 543; <i>Coles v. Soulsby</i> (1862) 21 Cal. 47, 50 [“new matter” is “that matter which the defendant must affirmatively establish.”].) The determination whether an answer states a defense is governed by the same principles which are applicable in determining if a complaint states a cause of action. (<i>South Shore Land Co. v. Petersen</i> (1964) 226 Cal.App.2d 725, 732.) The function of a demurrer is to test whether a pleading pleads sufficient allegations to give notice to other side as to the facts and theories of liability. (<i>Doe v. City of Los Angeles</i> (2007) 42 Cal. 4th 531, 550; <i>Abarrie v. State Farm Fire & Casualty Co.</i> (1988) 205 Cal.App.3d 530.) It is only necessary to plead ultimate facts and not evidentiary facts. (<i>Perkins v. Superior Court</i> (1981) 117 Cal.App.3d 1, 6.) “All that is necessary against a general demurrer is that upon a consideration of all the facts stated, it appears the party whose pleading is attacked by demurrer is entitled to any relief at the hands of the court against his adversary, notwithstanding the facts may not be clearly stated, or may be intermingled with a statement of other facts irrelevant to the cause of action or defense shown ...” (<i>South Shore Land Co. v. Petersen</i>, 226 Cal.App.2d at 732-733.) “The determination of the sufficiency of the answer requires an examination of the complaint because its adequacy is with reference to the complaint it purports to answer.” (<i>Id.</i> at 733.) Each defense must be considered separately without regard to any other defense. If one of the defenses is free from the objections urged by the demurrer, then a demurrer to the entire answer must be overruled. (<i>Id.</i> at 734.) The demurrer to the First Affirmative Defense (Failure to State Facts Sufficient to Constitute Cause of Action) and Eighth Affirmative Defense
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		(Statute of Limitations) is overruled. An affirmative defense based on the failure to state facts or statute of limitations does not require that facts be pleaded in support thereof. (See Code Civ. Proc., §§ 430.801, 458; see also 5 Witkin, Cal. Proc. 5th (2008) Pleading, § 1082, p. 515 [an affirmative defense of failure to state contradicts the essential allegations of the complaint and does not raise new matters, but merely denies them in affirmative form].) Defendants have failed to allege any facts in support of the remaining affirmative defenses. Accordingly, the demurrer to these affirmative defenses is sustained. In light of this ruling, Plaintiff's request to strike the affirmative defenses is denied as moot. Should Defendants wish to file a First Amended Answer to address the issues discussed above, Defendants shall do so by May 29, 2026. Plaintiff shall give notice of this ruling. <u>Case Management Conference</u> The Case Management Conference is continued to July 16, 2026, at 9:00 a.m. in this department. Plaintiff to give notice.
8	SPCB Ventures, Inc. v. Senoa Holdings, Inc.	Defendant Senoa Holding LLC, erroneously sued as Senoa Holdings, Inc.'s demurrer to Plaintiff SPCB Ventures, Inc.'s complaint is OVERRULED. Defendants Anthony Perkins and Matsuki Perkins' demurrer to SPCB Ventures, Inc.'s complaint is OVERRULED as to the 1st, 2nd, 4th, 5th, and 6th causes of action for fraud and violation of Bus. & Prof. Code § 17200 <i>et seq.</i>, and SUSTAINED as to the 3rd and 7th causes of action for breach of contract and breach of covenant of good faith and fair dealing. Plaintiff is granted 20 days leave to amend. <u>General standard</u> A demurrer only tests the sufficiency of the pleadings. (<i>See Satyadi v. West Contra Costa Healthcare District</i> (2014) 232 Cal.App.4th 1022, 1028 [in analyzing a demurrer, the court looks only to the face of the pleadings and to matters judicially noticeable and not to the evidence or other extrinsic matters]). In reviewing the propriety of the sustaining of a demurrer, the "court gives the complaint a reasonable interpretation, and treats the demurrer as admitting all material facts properly pleaded. [Citations.] The court does not, however, assume the truth of contentions, deductions or conclusions of law. [Citation.] The judgment must be affirmed 'if any one of the several grounds of demurrer is well taken. [Citations.]' [Citation.] However, it is error for a trial court to sustain a demurrer when the plaintiff has stated a cause of action under any possible legal theory. [Citation.] And it is an abuse of discretion to sustain a demurrer

		without leave to amend if the plaintiff shows there is a reasonable possibility any defect identified by the defendant can be cured by amendment.” (<i>Hale v. Sharp Healthcare</i> (2010) 183 Cal.App.4th 1373, 1379 [citing <i>Aubry v. Tri-City Hospital Dist.</i> (1992) 2 Cal.4th 962, 967].). A court will not consider facts that have not been alleged in the complaint unless they may be reasonably inferred from the matters alleged or are proper subjects of judicial notice. (<i>Hall v. Great W. Bank</i> (1991) 231 Cal.App.3d 713, 718 fn.7.) Here, Defendants Anthony Perkins, Matsuki Perkins, and Senoa Holding demurrer to the four causes of action for fraud, the breach of contract cause of action, the violation of Bus. & Prof. Code § 17200 cause of action and the bad faith cause of action. <u>Violation of Cal. R. Ct., rule 3.1113</u> As a preliminary matter, Plaintiff’s Opposition violates Cal. R. Ct., rule 3.1113, subd. (d), which provides that: “Except in a summary judgment or summary adjudication motion, no opening or responding memorandum may exceed 15 pages.” Plaintiff’s Opposition memorandum starts on page 5 and goes to page 26. It exceeds the limit by 7 pages. According to Cal. R. Ct, rule 3.1113, subd. (g), “A memorandum that exceeds the page limits of these rules must be filed and considered in the same manner as a late-filed paper.” The court will consider the merits of the first 15 pages of the Opposition brief (through page 19). <u>Alter Ego</u> First, the individual defendants, Anthony Perkins and Matsuki Perkins, contend that the alter ego allegations fail. Plaintiff alleges the following in support of its alter ego theory of liability: “At all times relevant hereto, Defendant Senoa was the alter ego of Defendants Anthony and Matsuki, and there exists, and at all times herein mentioned has existed, a unity of interest and ownership between Defendants such that any separateness between them has ceased to exist in that Defendants Anthony and Matsuki completely controlled, dominated, managed, and operated Defendant Senoa to suit their convenience.” (Compl., ¶ 7). “At all times relevant thereto, Defendant Senoa was not only influenced and governed by Defendants Anthony and Matsuki, but there was such a unity of interest and ownership that the individuality, or separateness, of Senoa and Anthony and Matsuki have ceased, and that the facts are such that an adherence to the fiction of the separate existence of these entities would, under the particular circumstances, sanction a fraud or promote injustice.” (Compl., ¶ 8).
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		With regards to alter ego liability, "two conditions must be met before the alter ego doctrine will be invoked. First, there must be such a unity of interest and ownership between the corporation and its equitable owner that the separate personalities of the corporation and the shareholder do not in reality exist. Second, there must be an inequitable result if the acts in question are treated as those of the corporation alone." [Citations.]" (<i>Hasso v. Hapke</i> (2014) 227 Cal.App.4th 107, 155.) Plaintiff relies on <i>Rutherford Holdings, LLC v. Plaza Del Rey</i> (2014) 223 Cal.App.4th 221, where the court held that Plaintiff's alter ego liability cause of action was sufficient where the Plaintiff alleged: "Caswell dominated and controlled PDR; that a unity of interest and ownership existed between Caswell and PDR; that PDR was a mere shell and conduit for Caswell's affairs; that PDR was inadequately capitalized; that PDR failed to abide by the formalities of corporate existence; that Caswell used PDR assets as her own; and that recognizing the separate existence of PDR would promote injustice." (<i>Id.</i> at 235). The court held that "Rutherford was required to allege only 'ultimate rather than evidentiary facts.' ... Moreover, the 'less particularity [of pleading] is required where the defendant may be assumed to possess knowledge of the facts at least equal, if not superior, to that possessed by the plaintiff,' which certainly is the case here." (<i>Id.</i> at 236 [internal citations omitted]). However, Plaintiff's allegations are not as specific as those set forth in <i>Rutherford</i>. Furthermore, Plaintiff fails to allege the second element, which is that there would be an inequitable result if the acts in question are treated as those of the corporation alone. Accordingly, the court finds that Plaintiff failed to allege alter ego liability against the individual Defendants. Nevertheless, Plaintiff has adequately alleged individual liability for some of the causes of action, as more fully explained below. <u>Fraud causes of action</u> Plaintiff asserts four claims for fraud: fraudulent misrepresentation, concealment, fraudulent inducement, and negligent misrepresentation. The essential allegations for a fraud claim include "(a) misrepresentation (false representation, concealment, or nondisclosure); (b) knowledge of falsity (or 'scienter'); (c) intent to defraud, i.e., to induce reliance; (d) justifiable reliance; and (e) resulting damage." (<i>Engalla v. Permanente Medical Group, Inc.</i> (1997) 15 Cal.4th 951, 974.). Facts must be plead with particularity, and this requirement "necessitates pleading facts which 'show how, when, where, to whom, and by what means the representations were tendered.'" (<i>Lazar v. Superior Court</i> (1996) 12 Cal.4th 631, 645). "An action for promissory fraud may lie where a defendant fraudulently induces the plaintiff to enter into a contract." (<i>Id.</i> at 638). Additionally, the elements for a claim for negligent misrepresentation are: "1. The defendant must have made a representation as to a past or
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		existing material fact. [¶] 2. The representation must have been untrue; [¶] 3. Regardless of his actual belief the defendant must have made the representation <i>without any reasonable ground for believing it to be true</i>; [¶] 4. The representation must have been made with the intent to induce plaintiff to rely upon it; [¶] 5. The plaintiff must have been unaware of the falsity of the representation; he must have acted in reliance upon the truth of the representation and he must have been justified in relying upon the representation. [¶] 6. And, finally, as a result of his reliance upon the truth of the representation, the plaintiff must have sustained damage.” (<i>Continental Airlines, Inc. v. McDonnell Douglas Corp.</i> (1989) 216 Cal.App.3d 388, 402 [emphasis in original]). A cause of action for negligent misrepresentation is “sound in fraud and, therefore, each element must be pleaded with specificity.” (<i>Daniels v. Select Portfolio Servicing, Inc.</i> (2016) 246 Cal.App.4th 1150, 1166, overruled on other grounds, <i>Sheen v. Wells Fargo Bank, N.A.</i> (2022) 12 Cal.5th 905, 919-920, 948, fn.12.) Defendants contend that Plaintiff failed to plead these claims with the requisite specificity, and contend that Plaintiff cannot allege justifiable reliance, because Plaintiff had ample opportunity to verify the very facts it now claims were concealed or misstated. Specifically, Plaintiff alleges that it had 21 days to conduct due diligence, was permitted to visit the business at the end of each business day for three weeks before purchasing, and personally observed the daily on-site cash collections. The court finds that Plaintiff adequately plead all four claims for fraud. With regards to the fraudulent and negligent misrepresentation claims, Plaintiff adequately plead that in September of 2024, Defendant Matsuki provided the Plaintiff with the business’s monthly expense information, that Plaintiff relied on when making an offer. (Compl., ¶ 13). In November of 2024, Defendant Anthony Perkins discussed the monthly operating and payroll expenses, as well as profitability based on the reported revenue and expenses. (Compl., ¶ 14). In the three weeks following the signed amended agreement on January 10, 2025, Plaintiff would observe Anthony Perkins removing bills and coins from two coin change machines and replenishing their contents, but he did not disclose to the Plaintiff the existence of the compartment containing \$5 bills within the larger change machine intentionally hidden from Plaintiff. The due diligence documentation provided by the Defendant also omitted any reference to costs associated with replenishing the \$5 bill compartment. (Compl., ¶ 18). Furthermore, Plaintiff alleged that Defendants reported the full \$20 as revenue but deliberately failed to account for the approximate \$10 that was removed from the location. (Compl., ¶ 21). Plaintiff alleges that it incurred damages, which include, but are not limited to, the disparity between the purchase price and the actual value of the business, lost profits, and additional consequential damages resulting from the Defendants’ conduct. (Compl., ¶ 27). Accordingly, Plaintiff has alleged the “who” (Anthony Perkins and Matsuki Perkins), the “where” (in the advertisement and at the business location), the “how” and the “means” (through the advertisement, the reports, and the concealment of the hidden compartment), the “when” (September and November of 2024, and the three weeks following the agreement) and to whom (to Mr. Lad and Mr. Desai).
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		Regarding the justifiable reliance argument, Plaintiff did not plead that Mr. Lad and Mr. Desai had unfettered access to the business during the inspection period. Rather, Plaintiff alleged that its representatives were only allowed to come at the end of each business day after obtaining prior approval from Mr. Perkins, and that Mr. Perkins would collect from the machines and hid the compartment from Plaintiff. There is no indication in the complaint that Plaintiff's representatives had unfettered access to the machines prior to closing. The court finds that Plaintiff alleged justifiable reliance. (See Compl., ¶ 26). With regards to Plaintiff's concealment cause of action, Plaintiff also alleged that Mr. Perkins concealed the hidden compartment and the additional expense, and that both Mr. Perkins and Ms. Perkins concealed the accurate expenses and financial performance. (Compl., ¶ 38). Finally, with regards to fraudulent inducement, Plaintiff also alleged that Defendants made various representations regarding the Business's financial performance, condition, and other material information that Plaintiff relied on when agreeing to purchase the Business for \$665,000.00, and that Defendants concealed the hidden compartment and its expense when making these representations. (Compl., ¶ 42). Accordingly, the court overrules the demurrer as to these causes of action. <u>Breach of contract</u> In order to state a cause of action for breach of contract, a Plaintiff must plead as follows: (1) the existence of the contract, (2) plaintiffs' performance or excuse for nonperformance, (3) defendant's breach, and (4) the resulting damages to the plaintiff. (<i>Oasis West Realty, LLC v. Goldman</i> (2011) 51 Cal.4th 811, 821). Plaintiff has plead the existence of a contract with Senoa. (Compl., ¶ 33, Ex. A). The contract, which is titled a "Purchase Agreement for the Sale of Sparkle Coin Laundry", provides: "Due Diligence. From the date of the execution hereof until twenty-one (21) business days thereafter ("Due Diligence Period"), the Seller will, and will cause the Seller to, provide Buyer or her representative reasonable access to the Premises to inspect the HVAC, plumbing/utilities, equipment, condition of the premise, books, and records. Buyer herein acknowledges they have already had access to the books and records of the Seller. Upon execution of this Agreement, Buyer shall provide Seller with a list of documents necessary for review, such as a copy of the current lease/rental agreement and utility bills (water, gas, electricity, etc.) documentation deemed necessary by Buyer. Due to the nature of a coin/cash business operation, Seller shall allow Buyer to witness coin/cash collection at various periods to understand the financial health of the Coin Laundry Business based upon Seller claims. Notwithstanding anything to the contrary contained herein, such access and inspections shall not materially interfere with the operations of the Seller. (Compl., Ex. A)."
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		The agreement also provides that Defendants were obligated to provide a minimum of two weeks of training, totaling at least 14 hours. ("Seller agrees to provide training to Buyer over a two-week period following the Closing Date per Seller's schedule. At minimum, Seller shall train Buyer for 14 hours during the two weeks period." [Ex. A]). Plaintiff alleges that Defendants provided inaccurate or misleading financial information and by failing to disclose material facts regarding the Business's profit and loss, and also failed to comply with the training requirement. (Compl., ¶¶ 20, 34). Plaintiff alleges that it paid the earnest deposit, closed the deal and assumed control of the business. (Compl., ¶¶ 16, 20, 22). Finally, Plaintiff alleges that it sustained damages from Defendants' breach. (Compl., ¶ 35). However, Plaintiff failed to allege that the individual Defendants were parties to the contract. The contract was only signed by Ms. Perkins "<u>on behalf of</u>" Senoa. Because the alter ego theory of liability is insufficiently plead, and Plaintiff has not alleged a contract with the individual Defendants, the court overrules the demurrer as to Senoa and sustains the demurrer as to the individual Defendants. <u>Breach of implied covenant of good faith and fair dealing</u> The implied covenant of good faith and fair dealing rests upon the existence of some specific contractual obligation. (See <i>Racine & Laramie, Ltd. v. Department of Parks & Recreation</i> (1992) 11 Cal.App.4th 1026, 1031). "[A]llegations which assert such a claim must show that the conduct of the defendant, whether or not it also constitutes a breach of a consensual contract term, demonstrates a failure or refusal to discharge contractual responsibilities, prompted not by an honest mistake, bad judgment or negligence but rather by a conscious and deliberate act, which unfairly frustrates the agreed common purposes and disappoints the reasonable expectations of the other party thereby depriving that party of the benefits of the agreement." (<i>Careau & Co. v. Security Pacific Business Credit</i> (1990) 222 Cal.App.3d 1371, 1395). Furthermore, if allegations of breach of the covenant of good faith "do not go beyond the statement of a mere contract breach and, relying on the same alleged acts, simply seek the same damages or other relief already claimed in a companion contract cause of action, they may be disregarded as superfluous as no additional claim is actually stated." (<i>Id.</i> at p. 1395.) Defendants contend that this cause of action fails because it relies on the same facts and the same harm as the breach of contract cause of action. However, Plaintiff has adequately plead actions by Defendants that go beyond just breaching the terms of the contract. Plaintiff adequately plead fraudulent misrepresentation, concealment, and inducement in connection to the misrepresented revenue and concealed expenses. Therefore, the court overrules the demurrer as to Senoa. However, a plaintiff cannot have a bad faith claim without a claim for breach of contract. (See <i>Racine & Laramie, supra</i>, 11 Cal.App.4th at 1032 ["There is no obligation to deal fairly or in good faith absent an
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		existing contract.”]). Because Plaintiff failed to state a cause of action for breach of contract against the individual Defendants, the demurrer is sustained as to this cause of action against the individual Defendants. <u>Unfair business practices</u> Business and Professions Code section 17200 prohibits “unfair competition,” which is defined to include “any unlawful, unfair or fraudulent business act or practice” and “unfair, deceptive, untrue or misleading advertising” and any act prohibited by business and professions code section 17500. A cause of action must be stated with “reasonable particularity.” (<i>Gutierrez v. Carmax Auto Superstores California</i> (2018) 19 Cal.App.5th 1234, 1261.) Because Plaintiff has adequately alleged fraudulent business practices as discussed above, the court overrules the demurrer as to this cause of action. Defendants shall give notice. <u>Case Management Conference</u> The Case Management Conference is continued to July 16, 2026, at 9:00 a.m. in this department. Plaintiff to give notice.
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